

VA-Guaranteed Loans

The Department of Veterans Affairs guarantees (instead of insures) VA loans. They're available for veterans, active duty personnel, and their surviving spouses. However, applicants have to qualify, and the property also has to qualify for the loan amount.

The VA may guarantee up to 25% of a loan's value between \$144,000 and the conforming loan limit, which is currently \$417,000 in most counties. This works out to a maximum guarantee of \$104,250. That 25% replaces the down payment a lender would normally receive, and it helps veterans get favorable financing terms.

The VA uses its own appraisers to assess properties. The loan guaranteed will be the lesser of the sales price or the appraisal price. The VA appraisal is called a **certificate of reasonable value**, or CRV.

VA loans only apply to owner-occupied homes, not investment properties. However, loans can be used for home construction or improvements for up to a four-family dwelling. Mortgage insurance doesn't apply to VA loans, but there is a VA funding fee which varies according to the loan.